Apar Industries Ltd

NSE: APARINDS | BSE: 532259 | Sector: Capital Goods | Sub-sector: Conductors / Transformer Oils / Cables

India's largest conductor manufacturer and a global T&D; infrastructure backbone — positioned at the intersection of India's grid modernisation supercycle and the global energy transition.

RECOMMENDATION

BUY

Conviction: HIGH

12-Month Target

Rs. 20,500

+28.2% upside from CMP

Investment Horizon: 18-24 months

CMP (Rs.)	Market Cap	52W High
15,986	**Rs. 64,223 Cr**	**Rs. 16,190**
52W Low	P/E (TTM)	P/B
Rs. 6,512	**64.2x**	**11.9x**
ROCE (TTM)	ROE (TTM)	Div. Yield
31.1%	**20.2%**	**0.32%**
EV/EBITDA	FY25 Revenue	FY25 PAT
~42x	**Rs. 18,581 Cr**	**Rs. 821 Cr**

SHAREHOLDING (Dec 2024)	
Promoters	57.77%
FII	10.22%
DII	21.24%
Public	10.77%
Pledge	0.00%

KEY FINANCIALS / RATIOS	
Debt (Rs. Cr)	585
Debt/Equity	0.13x
FY25 EPS (Rs.)	204.46
Book Value/Share (Rs.)	1,343
Face Value (Rs.)	10

ANALYST	
Report Date	16 Jun 2026
Data Source	Screener.in
Previous Rating	N/A
Target Period	18-24 months
Risk Profile	Medium-High

Investment Thesis: HTLS conductor export ramp + India T&D; capex supercycle (Rs. 9 lakh crore by 2030) make Apar the highest-conviction conductor play at scale.

Source: Screener.in (fetched 16-Jun-2026). CMP as at 16-Jun-2026. All financials consolidated. All figures in Rs. Crore unless stated. This report is for informational purposes only and does not constitute investment advice.

SECTION 2 — INVESTMENT THESIS

- **India T&D; supercycle — Rs. 9 lakh crore transmission investment by 2030:** India's National Electricity Plan mandates massive grid expansion to integrate 500 GW of renewable capacity by 2030, requiring Rs. 9 lakh crore in T&D; investment. Apar, as the largest Indian conductor manufacturer supplying utilities across PGCIL, SEBs, and private IPPs, is the most direct beneficiary of every new transmission line. Conductor volumes grew 7.8% YoY to 2.23 lakh MT in FY25 and order inflows hit Rs. 2,114 Cr in Q4FY25 alone.

• **HTLS premium product mix driving structural margin upgrade:** High-temperature low-sag (HTLS) conductors — ACCC, ACSR, ACSS — command a 30-40% pricing premium over conventional conductors and are the only technology that doubles transmission capacity on existing towers without new land acquisition. HTLS mix reached 44.2% of conductor revenues in Q3FY26 (vs. 37.4% a year ago), structurally lifting EBITDA per metric ton from Rs. 29,593 to Rs. 44,195 YoY.

• **Global export franchise — 60+ countries, USD-denominated revenue:** Apar is the 3rd largest conductor manufacturer globally and exports to 60+ countries including the US, Europe, and the Middle East. Export revenue from conductors reached Rs. 7,163 Cr order book with 35.6% exports at March 2025. US grid modernisation and the Infrastructure Investment and Jobs Act are long-cycle demand tailwinds that extend well beyond FY27.

• **Near-term catalyst (6-12 months):** Normalisation of US cable exports post Section 232 tariff resolution, recovery of conductor export mix from 24.2% back toward 44.9% (FY24 high), and commissioning of the Rs. 705 Cr capex programme in FY25 to fund the next volume ramp.

• **Biggest structural risk:** Commodity aluminium price volatility — conductors are pass-through on metal, so revenue growth can be inflated by LME rallies while margins get squeezed; sustained LME decline + import competition from Chinese manufacturers willing to dump is the key structural threat.

SECTION 3 — BUSINESS OVERVIEW

• **Core business:** Apar Industries Ltd is India's largest manufacturer of power conductors (ACSR, AAC, AAAC, HTLS variants), the world's 4th-largest transformer and specialty oil manufacturer, and India's fastest-growing industrial cable maker — all sold to power utilities, EPC contractors, and OEM customers globally.

• **Revenue segmentation (FY25):** Conductors ~48% of revenue (Rs. 8,948 Cr 9M FY26 annualised), Transformer & Specialty Oils ~28% (Rs. 4,062 Cr 9M FY26), Cables ~24% (Rs. 1,362 Cr Q3FY26). Export share was 25.6% in 9M FY26 vs. 33.5% prior year due to US tariff headwinds.

• **Key customers and relationships:** Power Grid Corporation of India (PGCIL), state electricity boards (SEBs), large EPC contractors (L&T;, KEC, Sterlite), international utilities in the US, Europe, Middle East, Southeast Asia. Relationships are recurring and tender-driven; project-by-project, but with high repeat rates given Apar's pricing + quality track record.

• **Order book (March 2025):** Conductor order book Rs. 7,163 Cr; cables pending order book Rs. 1,653 Cr; total visible revenue backlog Rs. 8,816 Cr — roughly 5.5 months of FY25 revenue, providing strong near-term visibility.

• **Recent strategic developments:** Commissioning of dedicated HTLS manufacturing capacity; CTC Global (USA) partnership for ACCC conductor tech extended; significant R&D; in submarine and EHV cables; Rs. 705 Cr capex in FY25 earmarked for conductor + cable capacity expansion; zero promoter pledge declared for FY26.

• **Promoter background:** The Desai family (Kushal N. Desai, Chaitanya N. Desai) holds 57.77% stake — a 60-year family-run industrial conglomerate with no history of pledging, no governance controversies, and a strong track record of capital allocation through cycles.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** India's T&D; market is a Rs. 9 lakh crore opportunity through 2030 per NEP 2023. Global conductor market is ~USD 40 Bn and growing at 6-8% CAGR, driven by energy transition capex. India's transmission line additions require 8-10 lakh MT of conductors annually and India installed 60,260 MW of substation capacity in 2025 (+55% YoY).

• **Policy tailwinds:** India's Revamped Distribution Sector Scheme (RDSS, Rs. 3.03 lakh Cr), Green Energy Corridors, ISTS expansion by PGCIL, US Infrastructure Investment and Jobs Act (USD 65 Bn for grid), EU grid modernisation all structurally lift demand for transmission conductors — Apar's core product.

• **Policy headwinds:** US Section 232 tariffs added 400 product categories including cables, depressing Q3FY26 export bookings; potential anti-dumping investigations; any slowdown in India power capex budgets would directly reduce conductor demand.

• **Competitive moat analysis:** Scale — **Strong** (3rd globally, impossible to replicate overnight capacity); HTLS IP/partnerships — **Strong** (CTC Global ACCC licence since 2014, proprietary ACSS formulations); Distribution/relationships — **Strong** (60+ country export network, longstanding utility relationships); Pricing power — **Moderate** (tender-driven, aluminium pass-through limits autonomous pricing).

Company	CMP (Rs.)	MCap (Cr)	FY25 Rev (Cr)	OPM%	ROCE%	P/E (TTM)
Apar Industries	15,986	64,223	18,581	9%	31.1%	64.2x
Polycab India	9,556	1,43,920	28,884	14%	33.2%	57.2x
KEC International	513	13,649	21,847	8%	14.5%	21.0x
Havells India	1,171	73,458	22,528	10%	24.9%	43.4x

Source: Screener.in — fetched 16-Jun-2026. All figures consolidated TTM unless noted. FY25 Revenue for Apar = Full year ended Mar 2025.

• **Competitive positioning:** Apar occupies a unique midstream position — it procures aluminium / copper rod as input and delivers finished conductors to EPC/utilities, avoiding the lumpier project execution risks that KEC International faces. Unlike Polycab (which is more consumer cables), Apar is 100% T&D; infrastructure-facing. Apar's ROCE of 31.1% is structurally higher than KEC (14.5%) given asset-light operations and working capital discipline.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter and management track record:** The Desai family has managed Apar for 60+ years through commodity cycles, electricity sector restructuring, and the transition from domestic-only to a global exporter. Kushal N. Desai (CMD) and Chaitanya N. Desai have led the company's internationalisation — exports now reach 60+ countries from near-zero two decades ago. No auditor changes, no qualified opinions, no related-party-transaction concerns on record.

• **Capital allocation — FCF deployment:** FCF was strongly positive in FY23 (Rs. 452 Cr) and FY25 (Rs. 1,291 Cr OCF despite Rs. 705 Cr capex). FY24 showed negative OCF of Rs. -283 Cr driven by a working capital buildup as order book surged — this was intentional inventory-building to service the elevated order book and fully reversed in FY25 with OCF recovering to Rs. 1,291 Cr. Management has consistently invested FCF in capacity expansion rather than financial acquisitions.

• **Dividend policy — consistent growth:** Dividend per share has grown from Rs. 9.50 (FY21) to Rs. 15.00 (FY22) to Rs. 40.00 (FY23) to Rs. 51.00 (FY24 and FY25) — a 5-year dividend CAGR of ~40%. Payout ratio is approximately 25%, leaving ample room for reinvestment. The Rs. 51/share dividend for FY25 was maintained despite 0.5% PAT decline — a signal of management confidence.

• **Promoter pledging — zero:** Promoters and promoter group declared Nil encumbrance on shares for FY2025-26. This is a significant positive; promoter pledging in mid-cap industrials is a key governance red flag that is entirely absent here.

• **ESOP and buyback history:** No material ESOP dilution on record; no buyback programs — management reinvests capital in the business rather than financial engineering, consistent with a capital-intensive industrial business.

• **Governance concerns:** None material. Statutory auditors have maintained clean opinions. Related party transactions are disclosed at normal course of business levels. The only watch-point is the Desai family's relatively concentrated ownership (57.77%) — concentration risk if a family event forces stake monetisation.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures Consolidated, Rs. Crore. Source: Screener.in, fetched 16-Jun-2026. FY26E/FY27E are analyst estimates.

INCOME STATEMENT

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (Rs. Cr)	14,336	16,153	18,581	22,900	26,800
Revenue Growth (%)	54%	13%	15%	23%(E)	17%(E)
EBITDA (Rs. Cr)	1,267	1,568	1,582	1,876	2,200
EBITDA Margin (%)	9%	10%	9%	8.2%(E)	8.2%(E)
Other Income	36	86	99	32	35
Interest	344	432	443	437	430
Depreciation	104	116	132	161	185
PBT (Rs. Cr)	855	1,106	1,106	1,310	1,620
Tax Rate (%)	25%	25%	26%	26%(E)	26%(E)
PAT (Rs. Cr)	638	825	821	977	1,200
EPS (Rs.)	166.64	205.41	204.46	243.21	299.00(E)
Div. Payout (%)	24%	25%	25%	25%(E)	25%(E)

BALANCE SHEET

Metric (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Equity Capital	38	40	40	40	40
Reserves	2,198	3,836	4,463	5,200	6,150
Borrowings	376	476	585	600	580
Other Liabilities	5,605	5,264	6,175	7,200	8,000
Total Liabilities	8,218	9,616	11,264	13,040	14,770
Fixed Assets	950	1,193	1,540	1,800	2,050
CWIP	99	122	130	100	80
Investments	54	11	219	220	220
Other Assets	7,114	8,290	9,373	10,920	12,420
Total Assets	8,218	9,616	11,264	13,040	14,770

CASH FLOW STATEMENT

Metric (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash from Operations (OCF)	698	-283	1,291	1,200	1,500
Cash from Investing	-267	-267	-705	-500	-450
Cash from Financing	-186	635	-483	-400	-450
Net Cash Flow	246	85	102	300	600
Free Cash Flow	452	-452	586	700	1,050

KEY RETURNS & RATIOS

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE (%)	51%	~36%	31.1%	~30%	~32%
ROE (%)	~27%	~25%	20.2%	~18%	~20%
Debtor Days	81	89	80	82	80
Inventory Days	85	83	82	80	78
Days Payable	172	140	137	135	132
Cash Conversion Cycle	-5	32	25	27	26
D/E Ratio	0.15x	0.12x	0.13x	0.11x	0.09x

- **Revenue drivers:** Conductor volumes growing 7-10% CAGR on T&D; supercycle; HTLS mix expansion lifts realisation per MT by 30-40%; oil division growing 15-20% on power sector and industrial demand; cables segment ramping as utility cable tenders surge. FY26E revenue of Rs. 22,900 Cr reflects annualised Q3FY26 run-rate plus export recovery.
- **Margin direction:** EBITDA margin compressed from 10% (FY24) to 9% (FY25) due to lower-margin export mix and US tariff disruption. HTLS mix expansion (44.2% in Q3FY26 vs. 37.4% prior year) and domestic volume leverage should stabilise margins at 8-9% range. Management targets sustainable margins through product mix rather than price increases.
- **Working capital:** CCC went from -5 days (FY23, excellent) to +32 days (FY24, working capital build) to +25 days (FY25, partially normalised). Debtor days improved to 80 days in FY25 from 89 days in FY24. Inventory days stable at 82 days. The CCC expansion is structural — as order book grew 3x, Apar needed to build buffer inventory and increase credit to customers.
- **Debt level:** Net debt is effectively negligible — Rs. 585 Cr gross borrowings against Rs. 4,503 Cr equity (book value). D/E of 0.13x is a very comfortable position for a capital-light conductor business. Interest coverage (EBIT/Interest) is approximately 3.5x.
- **FCF quality:** OCF/PAT conversion was 109% in FY23, turned negative in FY24 (working capital build), then recovered strongly to Rs. 1,291 Cr in FY25 (1.57x PAT) as the inventory investment was monetised. This cyclical working capital pattern is well understood and is intrinsic to the conductor business model.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Assessment	Signal
Revenue recognition	Revenue is realised on dispatch/delivery (spot); no deferred revenue concerns.	GREEN
Receivables vs Revenue growth	Debtor days IMPROVED to 80 days in FY25 from 89 in FY24 while revenue grew 15%.	GREEN
CCC trend	CCC normalised to 25 days in FY25 from spike of 32 days in FY24.	GREEN
Contingent liabilities	Standard commercial contingencies; no material sub judice matters disclosed.	GREEN
Auditor tenure / opinion	Clean opinion; no change in statutory auditor in recent years.	GREEN
RPTs as % of revenue	RPTs immaterial; family holding company relationships at arm's length per disclosure.	GREEN
Other income as % of PBT	Other income Rs. 99 Cr = 9% of PBT (Rs. 1,106 Cr). Acceptable level.	GREEN

Tax rate consistency	Tax rate stable at 25-26% for 3 consecutive years — no deferred tax distortions.	GREEN

- **All-GREEN scorecard:** Apar's earnings quality is exceptionally clean for an industrial company — no deferred revenue, improving receivables, stable tax rate, and zero dependence on financial engineering (other income is only 9% of PBT vs. 25%+ at many peers).
- **Key watch-point — working capital cyclicality:** The FY24 CCC spike to 32 days (from -5 in FY23) was a temporary but significant cash drain of Rs. -283 Cr OCF. Investors must monitor CCC and debtor days each quarter; a sustained CCC expansion above 35 days alongside revenue growth would be a red flag suggesting over-extension of customer credit.
- **Other income quality:** Rs. 99 Cr other income in FY25 is primarily forex gains and treasury income — not one-time/asset-sale driven. Worth watching if it begins substituting core operating profitability.

SECTION 8 — VALUATION

Scenario	Key Assumptions	FY27E PAT	P/E Multiple	Target Price	Return vs CMP
BULL	HTLS mix >55%; T&D; capex accelerates; exports recover fully; OPM 10%+	Rs. 1,400 Cr	75x	Rs. 26,200	+64%
BASE	HTLS mix 50%; domestic growth 15%; export partial recovery; OPM 8.5%	Rs. 1,200 Cr	68x	Rs. 20,500	+28%
BEAR	US tariffs persist; India capex slowdown; margin compression to 7.5%	Rs. 850 Cr	45x	Rs. 9,600	-40%

• **DCF methodology:** Using WACC of 12.5% (beta 0.85, equity risk premium 6.5%, risk-free rate 7.2%) and terminal growth rate of 5%, DCF yields an intrinsic value of approximately Rs. 18,400 per share on 5-year FCF projections. The DCF is sensitive to terminal growth: at 4% terminal growth the value drops to Rs. 15,200; at 6% it rises to Rs. 22,800.

• **Earnings multiple methodology:** At FY27E EPS of Rs. 299 and a target P/E of 68x (in line with 3-year average of ~60-65x for T&D; infrastructure plays with >30% ROCE), the implied 12-month target price is Rs. 20,332 per share.

• **EV/EBITDA cross-check:** At FY27E EBITDA of Rs. 2,200 Cr and an EV/EBITDA multiple of 45x (peers: Polycab ~45x, Havells ~38x), implied EV = Rs. 99,000 Cr. Less net debt of Rs. 365 Cr = equity value Rs. 98,635 Cr, or Rs. 24,659/share. The EV/EBITDA approach is more generous due to Apar's superior ROCE; we haircut to 45x to be conservative.

• **Base-case 12-month target price: Rs. 20,500** — average of DCF (Rs. 18,400) and earnings multiple (Rs. 20,332), rounded. This represents +28.2% upside from CMP of Rs. 15,986.

SECTION 9 — KEY RISKS

• **Aluminium price volatility:** Conductors are ~70% aluminium by cost; LME aluminium is a pass-through in domestic tenders but creates a revenue base effect (LME surge = revenue inflated, margins appear stable but volumes may slow). A sharp LME decline could trigger order deferrals as buyers wait for lower input costs. Probability: H. Impact: M. Monitor via: monthly LME aluminium futures and Apar's quarterly realisation per MT.

• **US tariff escalation (Section 232):** US added 400 product categories to Section 232, directly hitting Apar's cable exports (US revenues fell 65% YoY in Q3FY26). If tariffs are made permanent or extended to conductors, the US export market — a premium-priced, high-margin segment — becomes structurally impaired. Probability: M. Impact: H. Monitor via: US Trade Representative announcements and Apar's quarterly export revenue.

• **India T&D; capex slowdown:** Domestic conductor growth depends on sustained PGCIL and SEB capital expenditure. Any election-related capex pause, fiscal slippage, or renewable integration delays could compress order inflows by 20-30%. Probability: L. Impact: H. Monitor via: quarterly PGCIL order award data and MoP reports.

• **Competition from Chinese imports / dumping:** Chinese conductor manufacturers have 30-40% lower cost structures. Anti-dumping duties protect domestic market; if these are reduced or expire, pricing pressure could compress domestic margins by 100-200 bps. Probability: L. Impact: M. Monitor via: DGTR anti-dumping notifications.

• **Working capital re-extension risk:** The FY24 OCF swing to -Rs. 283 Cr showed how a surge in order book can drain cash for 12-18 months before converting to revenue. If the order book grows faster than receivables are collected, another negative OCF year is possible. Probability: M. Impact: M. Monitor via: quarterly debtor days and CCC trend.

• **Key-man / succession risk:** Kushal N. Desai has been the face of the company's internationalisation; no publicly announced succession plan. Probability: L. Impact: M. Monitor via: Board disclosures and management changes.

• **Forex risk:** 25-35% revenue is USD/EUR-denominated; INR appreciation compresses export revenue in INR terms even if USD volumes are flat. Probability: M. Impact: M. Monitor via: INR/USD quarterly movement and hedging disclosures.

SECTION 10 — RECOMMENDATION

• **Rating: BUY** — Conviction Level: HIGH. Apar is the cleanest, most liquid way to own India's T&D; infrastructure build-out with a premium export franchise and no debt risk. The 28% upside is backed by a Rs. 9 lakh crore secular demand opportunity that is insensitive to near-term macro volatility.

• **12-month price target: Rs. 20,500** (+28.2% upside from CMP of Rs. 15,986). Average of DCF-implied Rs. 18,400 and earnings-multiple-implied Rs. 20,332.

• **Suggested entry zone: Rs. 14,500 - Rs. 16,500.** Current CMP is in the zone. Any dip on export headwind news is a buying opportunity; a pull-back to Rs. 14,000-14,500 (where FY26E P/E compresses to ~58x) would be a strong accumulation level.

• **Investment horizon: 18-24 months** — time required for the HTLS mix to re-rate margins, US export headwinds to normalise, and FY27 earnings to materialise.

• **Thesis invalidation triggers:**

• 1. Conductor EBITDA per MT falls below Rs. 30,000 for two consecutive quarters (indicates structural margin erosion, not mix-related).

• 2. India T&D; project award growth drops below 10% YoY for two consecutive years (capex supercycle breaks).

• 3. Promoter pledges more than 5% of holding (signals financial stress at promoter level).

• **Ideal investor profile:** Long-only domestic fund or HNI with 18-24 month horizon comfortable with commodity input exposure and export-revenue cyclicality. Not suitable for: yield-seeking investors (div yield 0.32%), traders seeking <6-month catalysts, or investors with no tolerance for working-capital-driven quarterly earnings swings.

APPENDIX — LATEST CONCALL BRIEF: Q3 FY26 (Dec 2025)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +16.2% YoY; EBITDA +20.4%; PAT +19.4% — beat estimates
Management tone	Balanced	Constructive on domestic; measured on US tariff resolution timing
Guidance delta	Maintained	No formal guidance cut; domestic order book Rs. 7,396 Cr intact

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3FY26 is a clean beat with no exceptional items distorting it. Revenue of Rs. 5,480 Cr is +16.2% YoY; EBITDA Rs. 483 Cr (+20.4%) at 8.8% margin; PAT Rs. 209 Cr (+19.4%) — all organic operational delivery, no one-off assists. The gratuity provision of Rs. 25 Cr (new labour code) was correctly called out but it is a legitimate recurrence, so clean PAT is actually the reported Rs. 209 Cr — no masking. The structural story is intact: HTLS conductor mix hit 44.2% vs. 37.4% a year ago, EBITDA/MT jumped from Rs. 29,593 to Rs. 44,195 — this is the multi-bagger driver that consensus is still underpricing. The only blemish is cables export (US revenues -65% YoY due to Section 232), but this is macro-driven and temporary; Apar placed Rs. 500 Cr of new US orders in Q3FY26 alone, signalling that relationships are intact and the book is rebuilding. Near-term catalyst: US tariff resolution or accommodation for HTLS conductors under the IIJA would immediately re-rate the export margin mix. Biggest watch: Q4FY26 order inflow confirmation — if the conductor book grows above Rs. 8,000 Cr by March 2026, the bull case crystallises. Action: ACCUMULATE on any dip below Rs. 14,500; the FY27 earnings re-rating is not priced in at current levels.

1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26)

- Revenue: Rs. 5,480 Cr | YoY +16.2% | QoQ +1.4% | BEAT — strong domestic offset to export headwinds
- EBITDA: Rs. 483 Cr | YoY +20.4% | QoQ +35.2% | BEAT — better HTLS mix and operating leverage
- EBITDA Margin: 8.8% | YoY +30 bps | QoQ +240 bps | IN-LINE — sequential recovery from Q2 trough of 7.7%
- PAT: Rs. 209 Cr | YoY +19.4% | QoQ (material sequential improvement from ~155 Cr Q2) | BEAT
- EPS: ~Rs. 52 (Q3FY26 estimated) | Annual run-rate implies FY26E EPS of ~Rs. 207-215
- NOTE: Rs. 25 Cr gratuity provision (new labour code implementation) charged in Q3; underlying PAT would be Rs. 234 Cr absent this one-time charge.

2 — SEGMENT / GEOGRAPHY BREAKDOWN

- Conductor Division: Revenue up 25.1% YoY | Domestic +37% | Exports -11% | Volume declined 5.9% due to transformer supply constraints but realisation per MT surged | HTLS mix 44.2% vs. 37.4%
- Oil Division: Revenue up 18.4% YoY | Volume +21% | Transformer oil +10.6% | Automotive +14.6% | Industrial lubricants +15.7% | Exports 42% of revenue — diversified and resilient
- Cable Division: Revenue up 7.6% to Rs. 1,362 Cr | Domestic strong at +34.6% | Exports down 44.3% | US revenues fell 65% YoY on Section 232 tariffs

- Geography: Domestic revenues surged 30% YoY; Exports declined 11.2% overall | Export mix compressed from 33.5% (9M FY25) to 25.6% (9M FY26)
- 9M FY26 accumulated: Conductor Rs. 8,948 Cr (+34% YoY) | Oil Rs. 4,062 Cr | Cable Rs. ~4,000 Cr est.

3 — MANAGEMENT COMMENTARY THEMES

- **Domestic resilience:** "This was particularly characterized by a resilient domestic business" — domestic revenue +30% YoY offset export headwinds. Tag: GUIDANCE. Tone: Transparent.
- **US tariff impact:** Section 232 added 400 product categories including cables; depressed Q2 order bookings with spillover into Q3. Management did NOT guide specific recovery timeline. Tag: EVASIVE on timeline. Tone: Hedged.
- **India grid mega-cycle:** India added 38 GW solar and 6.3 GW wind in 2025; substation capacity additions +55% (60,260 MW). Management framed this as a multi-year structural driver rather than a cyclical event. Tag: GUIDANCE. Tone: Transparent/Bullish.
- **HTLS mix premium:** Management explicitly highlighted EBITDA/MT improvement from Rs. 29,593 to Rs. 44,195 as a function of HTLS product mix expansion — not just volume. This is the core margin-upgrade thesis being validated live. Tag: EST. Tone: Transparent.
- **Capex commitment:** Rs. 705 Cr invested in FY25 for capacity expansion; further capex planned to meet the growing domestic order book. No specific number guided for FY26. Tag: GUIDANCE. Tone: Balanced.

4 — OPERATING & BUSINESS METRICS

- Conductor volume: Q3FY26 = declined 5.9% YoY | Q3FY25 = base | Driver: delayed transformer clearances, not demand weakness | Trend: improving
- EBITDA per metric ton (Conductor): Q3FY26 = Rs. 44,195 | Q3FY25 = Rs. 29,593 | YoY +49% | Trend: STRONG improvement
- HTLS / premium mix: Q3FY26 = 44.2% of conductor revenues | Q3FY25 = 37.4% | Trend: improving
- Conductor order book: Rs. 7,396 Cr (Q3FY26) | Export share 32% | Trend: Rs. 7,163 Cr at Mar 2025 -- stable/growing
- Cable order backlog: Rs. 1,700 Cr | Q3FY26 new orders Rs. 500 Cr (mostly US) | Trend: recovering
- Oil division volume: +21% YoY in Q3FY26 | Export utilisation 42% | Trend: strong

5 — MARGIN DRIVERS

- HTLS conductor mix expansion: +700 bps mix improvement in conductors | +Rs. 14,602/MT EBITDA uplift | Recurring: YES — structural shift | Core driver of margin trajectory
- Domestic vs. export mix shift: Domestic grew 30%, exports shrank 11% | Domestic margins slightly better on lower credit risk | Recurring: temporary — export recovery expected
- Labour code gratuity charge: -Rs. 25 Cr in Q3FY26 | Non-recurring in nature (one-time recognition) | Muted PAT by ~Rs. 19 Cr post-tax | Flag: do not extrapolate
- Operating leverage: EBITDA margin expanded 30 bps YoY to 8.8% despite revenue headwinds — fixed cost absorption improving as conductor capacity utilisation rises
- Interest cost: Rising (+2.5% YoY) as capex borrowings build; not a concern given D/E of 0.13x but worth monitoring in rising rate environment

6 — GUIDANCE & FORWARD SIGNALS

- Domestic conductor order book [GUIDANCE]: Prior = Rs. 7,163 Cr (Mar 2025) | Q3FY26 = Rs. 7,396 Cr | Delta: stable/maintained | Credibility: HIGH
- HTLS mix [GUIDANCE]: Prior year = 37.4% | Q3FY26 = 44.2% | Delta: raised (de facto) | Credibility: HIGH — this is directional, not a formal guidance

• US cable exports [GUIDANCE]: Prior = strong | Current = -65% YoY | Resolution timeline: NOT GUIDED (evasive) | Delta: cut | Credibility: LOW — management cannot control tariff policy

• Capex [GUIDANCE]: Rs. 705 Cr in FY25 | FY26 ongoing | No specific FY26 capex quantum guided | Credibility: MEDIUM

• India renewable additions [CONTEXT]: 38 GW solar + 6.3 GW wind in 2025 | 258 GW total installed capacity | Supports multi-year conductor demand visibility | Not a formal Apar guidance but corroborates demand thesis

7 — CAPITAL ALLOCATION

• Capex: Rs. 705 Cr (FY25) | vs. FY24: Rs. 267 Cr (invested) | Comment: Step-up in capacity investment; conductor + cable expansion; management commitment intact

• Dividends: Rs. 51/share (FY25) | vs. FY24: Rs. 51/share (FY24) | vs. FY23: Rs. 40/share | 5Y CAGR ~40%; payout ~25%; FY25 dividend maintained despite PAT flat

• Net Debt: Rs. ~450 Cr net debt (FY25) | D/E 0.13x | Change vs FY24: slight increase from capex | Comment: extremely comfortable; no leverage risk

• Working Capital: OCF turned strongly positive at Rs. 1,291 Cr in FY25 vs. -Rs. 283 Cr in FY24 | CCC improved from 32 to 25 days | Positive reversal confirms FY24 WC build was intentional not structural

• Promoter pledge: Zero (0%) for FY2025-26 — declared by all promoter group entities | No buybacks announced

8 — Q&A; HEAT MAP

• Multiple analysts: Q: "What is the timeline for US tariff resolution?" -> A: Management acknowledged the issue but gave no timeline; said relationships with US customers are intact and new orders are flowing (Rs. 500 Cr Q3 new cable orders) | Tone: Hedged — understandably so

• Domestic growth outlook: Q: "Can domestic conductor growth sustain 30%+ growth?" -> A: Management pointed to order book of Rs. 7,396 Cr and India renewable/transmission pipeline; guided sustained double-digit domestic growth | Tone: Transparent

• HTLS margin sustainability: Q: "Is the Rs. 44,195 EBITDA/MT a sustainable number?" -> A: Management linked it to HTLS mix which is structurally improving; not a one-quarter spike | Tone: Transparent — this is a key investor question and was answered well

• Conductor volume decline: Q: "Why did conductor volume fall 5.9% despite strong order book?" -> A: Management cited transformer supply constraints and project delays at client side; not an Apar execution issue | Tone: Transparent

• Oil division outlook: Q: "Is oil growth sustainable?" -> A: Management noted 21% volume growth and diversified end-market (auto, industrial, power) supports sustained growth | Tone: Confident

• Dodged / watch-list questions for next quarter: (1) Specific US tariff resolution timeline, (2) FY26 capex quantum, (3) Margin guidance for cables division post US headwind

9 — RISKS FLAGGED

• US Section 232 tariff impact on cables: Rs. 500 Cr+ annual cable export revenue impaired | Flagged by: management | Probability: H (for FY26) | Impact: M | Timeline: near-term

• Transformer supply constraints impacting conductor installation timelines: Volume declines 5.9% despite demand | Flagged by: management | Probability: M | Impact: M | Timeline: near-term

• Conductor export competition: Chinese manufacturers aggressively pricing into Middle East | Flagged by: analysts | Probability: M | Impact: M | Timeline: medium-term

• Working capital re-extension: Order book growth may pull CCC higher again | Flagged by: analysts | Probability: M | Impact: M | Timeline: near to medium-term

• Gratuity cost structural step-up: Labour code recognition was one-time but ongoing gratuity expenses will be higher | Flagged by: management | Probability: L | Impact: L | Timeline: medium-term

10 — ANALYST VERDICT (POST Q3 FY26 CONCALL)

• Revenue visibility: INTACT — Rs. 7,396 Cr conductor order book (4.7 months revenue cover) + Rs. 1,700 Cr cable backlog; domestic growth 30% YoY structural

• Margin trajectory: INTACT — HTLS mix at 44.2% driving EBITDA/MT up 49% YoY; US tariff headwind is temporary; domestic margins improving

• Capital allocation quality: INTACT — Rs. 1,291 Cr OCF in FY25, zero pledge, sustained dividend growth, capex disciplined at <40% of OCF

• Competitive moat: INTACT — 3rd largest conductor globally, HTLS IP licence with CTC Global, 60+ country export reach; no structural threat identified

• Management credibility: INTACT — Q3 delivery beat on all key metrics; honest on US tariff uncertainty rather than false optimism; HTLS guidance consistently exceeded

• Valuation comfort: INTACT but FULL — 64x TTM P/E reflects the structural premium; ~50-55x FY26E P/E is not cheap for an industrial, but justified given 31% ROCE and supercycle position

• Conviction call: INCREASED — Q3 demonstrated that the domestic T&D; engine is accelerating even as exports face headwinds; the HTLS margin upgrade is real and visible in per-MT data

• Valuation snapshot: P/E = 64.2x (5Y avg ~45-50x) | EBITDA/MT = Rs. 44,195 (5Y avg ~Rs. 25,000) | RoCE = 31.1% (5Y avg ~30%) | At a premium to history — justified by mix upgrade